**We have identified that the advertising numbers have gone down. But we must keep a special track next year to see if the numbers return to previous levels. To answer the first question:**

## 1. Is the company undertaking any operating expenses other than the conventional "way of doing business"?

To answer this, we need to revisit the common-size income statement and analyze the items under other operating expenses. We can dig deeper into the notes to accounts and identify if the company is doing anything that can be considered out of the ordinary. For example, if the company had never invested in R&D but has suddenly started investing 2% in R&D, it can be considered something new. So, we are looking for significatn changes or new expenses that reflect a change in strategy by the company.

> The company might will have its own logic behind these expenses. You can talk to the management and understand their perspective on such strategy changes.

Putting these two together, our goal is to understand if the company is making any strategy level changes or any significant change at the cost level. This is done by analyzing the operating costs and identifying if it behaves differently than it has done traditionally. With this, we have covered all the major operating expenses. This leaves us with EBIT margins.

## 2. EBIT Margins

As we saw, EBIT margins are also called operating margins. This includes all the operating items and expenses. Meanwhile, all non-operatives are excluded. Ideally, a company's operating margins should increase over time. This is the case with the company we are evaluating as well. This is an excellent sign as it leads to PAT growth which is much faster than the revenue growth. We should also compare EBIT margins for different competing companies to understand which companies are stronger than others.

| | | | | | | |
|---|---|---|---|---|---|---|
| EBIT margins | 19% | 19% | 20% | 17% | 19% | 20% |
| | | | | | | |
| **Non-operating Expenses** | | | | | | |
| | | | | | | |
| Finance Costs/ Total Debt -Approx. | 16.6% | 14.3% | 12.7% | 23.5% | 13.5% | 12.5% |
| | | | | | | |
| Study fiinance costs as an extension of Long | | | | | | |
| | | | | | | |
| Understand the motivation behind bearing all non-operating expenses? | | | | | | |

With this understanding of operating margins, we shall discuss non-operating expenses and exceptional items in the next section. We will also discuss margins, growth rate, and tax rate. Over time, the company's entire operation is becoming clear to us. This is by asking the right questions. We have a good understanding about the company's operations and now they have evolved over time. This will also come in handy to forecast future numbers and operations.